Project Management Report

A report to the Managing Director and Senior Management Team of the Nxt Day Group

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1. Executive Summary

The CEO inquired how project management aligns with the Group's strategy. It will significantly influence outcomes if treated as an organisational capability rather than just a set of templates.

Nxt's strategy focuses on leveraging information to protect a £100 million market niche against European postal services and global couriers. This approach includes investments in vehicle telemetry, mobile devices for drivers, an integrated customer and asset database, and an automated billing system. If these elements are handled as separate technology purchases, they risk competing for limited capital and face integration challenges.

Key findings indicate that these initiatives should form the "Nxt Connect" program, overseen by the Senior Management Team (SMT) as part of a broader project portfolio. Emphasis should be placed on benefit realization, with each benefit having an accountable owner. Control will utilize decision points and earned value methodology, with a clear risk management plan and independent quality assurance. A balanced matrix structure, supported by a phased Program and Project Support Office (PPSO), will reduce administrative burdens, while governance should distinctly separate oversight from management functions.

Recommendations include eight actions starting with the SMT's approval of the risk tolerance statement and program mandate in January 2027 and concluding with a review of realized benefits in June 2028.

1. Background to the Report

2.1 Purpose, scope and structure

This report responds to the SMT's request to investigate the effect of managing by projects on overall business strategy. It is based on secondary research from peer-reviewed literature, professional standards (APM, AXELOS, PMI), parliamentary reports and organisational case studies, especially applied to the case of Nxt Day Business Mail. Section 3 covers the link between strategy and benefits. Section 4 concerns project delivery, including control, risk and quality. Section 5 discusses the organization, the PPSO and governance. Recommendations and conclusions are provided in Sections 6 and 7.

2.2 Nxt's position

The Nxt Day Group, comprising Nxt Service and Nxt Secure, processes over 27 million items annually, generates approximately £100m in revenue and employs 2,500 staff in the Coventry area. Both companies are marginally profitable, with three-quarters of deliveries carried out by

subcontracted couriers and proof of delivery handled by paper signature cards. This leads to problems confirming deliveries, delays in billing, and challenges with cash flow, compounded by a lack of performance indicators for subcontractors. Competition has shifted the value from logistics to information, and the CIO has proposed improvements such as GPS telemetry and automated systems. But change is hindered by a risk-averse culture and tough investment barriers.

2.3 Why managing by projects, and why now

The present environment is one of interdependencies, slim margins, cultural caution and a greater role for technology. This is driving companies to 'projectify' (Midler, 1995) by managing change as a structured and repeatable activity. A SWOT summary is provided in Appendix A and case study analyses in Appendix D.

2. Business Objectives, Programmes, Projects and Benefits Realisation

3.1 From strategy to project

Strategy is delivered through projects, which are the means by which change is enacted (Morris & Jamieson, 2005). A portfolio is the aggregate of all change initiatives that align with the organization's strategy. A program is a coordinated set of related projects that aim to obtain collective benefits, while a project is a temporary, focused effort with a specific output (APM, 2019).

This is a crucial difference for Nxt. PDAs are a hardware purchase, but with telemetry, a shared database, and automated billing, they are a capability that provides real-time proof of delivery, triggering same-day invoicing and exposing subcontractor performance. Because there is no single project to manage this result, a program is required (Pellegrinelli, 1997). Lycett, Rassau and Danson (2004) warn against the perception of programs as 'scaled-up projects', stressing that the objective of programs is to coordinate and deliver benefits, rather than to replicate project controls.

Figure 1: Strategy-to-benefit hierarchy for Nxt

Level	Nxt example	Accountable
Corporate strategy	Defend and grow the B2B niche by becoming the most information-rich next-day carrier	Group CEO and SMT
▼ **Portfolio**	All funded change across Nxt Service, Nxt Secure and shared services, prioritised against capital limits	SMT as portfolio board
▼ **Programme**	Nxt Connect: real-time tracking, data and billing capability	Senior Responsible Owner (MD, Nxt Service)

Level	Nxt example	Accountable
▼ **Projects**	P1 Data platform and PAF interface; P2 Telemetry; P3 PDA own fleet; P4 Billing and portal; P5 Subcontractor PDA roll-out	Project executives and project managers
▼ **Outputs**	Installed telemetry units, configured PDAs, integrated database, live billing portal	Project managers
▼ **Outcomes**	Signatures captured at the door; routes planned from data; invoices raised on delivery	Operational managers
▼ **Benefits**	Higher on-time delivery, lower debtor days, lower cost per drop, revenue growth (Table 1)	Named benefit owners

Source: author, adapted from APM (2019), AXELOS (2020) and Morris and Jamieson (2005).

3.2 Outputs, outcomes and benefits

Outputs are the deliverables of a project, e.g., a functional fleet of PDAs. Outcomes are the new ways of working that these outputs enable, e.g., drivers take signatures at the door. Benefits are the quantifiable enhancements stakeholders appreciate, such as a reduction in billing disputes (Ward and Daniel, 2012; AXELOS, 2020). Zwikael and Smyrk (2012) argue that projects should be assessed on this outcome chain, not just time, cost and scope because a perfectly delivered project may still be valueless.

The objectives of Nxt through this chain are shown in Table 1 with illustrative targets pending baseline measurements. However, there are limitations with benefit maps. If multiple projects affect a single Key Performance Indicator (KPI), it can be difficult to attribute gains to a single project. That's why Nxt should track benefits at the program level as opposed to the project level.

Table 1: Benefits realisation map: strategic KPIs to project deliverables

Strategic objective	KPI (baseline → target)	Project output	Outcome	Benefit	Benefit owner	Measured
Service reliability	On-time delivery 95% → 98%	PDAs (P3, P5); telemetry (P2)	Real-time exceptions handled same day	Customer retention	MD, Nxt Service	Monthly from go-live
Cash flow	Debtor days (baseline TBC) → −10 days	Automated billing and portal (P4)	Invoice raised on proof of delivery	Working capital released	CFO	Quarterly
Cost efficiency	Fuel and cost per drop → −8%	Telemetry and route data (P2, P1)	Optimised routes; driving-style feedback	Lower operating cost	Group Operations Director	Monthly
Network share	Items on own fleet 25% → 35%	Asset utilisation data (P1, P2)	Capacity freed for insourcing	Margin per item	MD, Nxt Service	Six-monthly
Growth in new sectors	Public-sector and business-park leads converted	PAF-linked customer database (P1)	Postcode-level targeting; automated discounts	Revenue growth	Sales and Marketing Director	Quarterly
Secure B2C growth	Secure B2C revenue (baseline TBC) → +15%	Named-signature store (P1, P3)	Auditable secure release	Higher-margin revenue	MD, Nxt Secure	Quarterly

Strategic objective	KPI (baseline → target)	Project output	Outcome	Benefit	Benefit owner	Measured
Dis-benefits	Driver grievances; subcontractor attrition	Telemetry; PDA mandate	'Spy in the cab' perception; device cost to couriers	Managed, not ignored	HR Director	Pulse survey per stage
Intangible	Complaints; safety incidents	All projects	Reputation for security; lone-driver safety	Brand trust	Group CEO	Annual

Source: author, applying Ward and Daniel (2012) and Serra and Kunc (2015) to University of Wolverhampton (2026).

3.3 Benefits realisation as a management discipline

Serra and Kunc (2015) have pointed out the connection between benefits realisation management (BRM) practices and project success and business strategy execution. In practice, however, there is often a gap. Many organisations cease measuring after business case approval, which is problematic (Breese, 2012). A good example of this is the NHS National Programme for IT, which has cost nearly £10 billion, but the benefits that were promised never appeared.

By contrast, UPS's ORION route-optimization system is a success. It used telematics data to cut driving miles by some 100 million miles per year, but Holland et al. (2017) note that the savings came from extensive driver engagement and a gradual rollout. The benefits are driven by changes in behaviour, not just technology.

Think of these four practices for Nxt:

1. **Business Ownership:** Assign an owner to each benefit (e.g., the CFO for debtor days).
2. **Dis-benefits:** Closely watch negative impacts, as telemetry may be viewed as surveillance by drivers.
3. **Intangibles:** Estimate reputation and safety using proxy indicators rather than ignoring them.
4. **Tracking Beyond Closure:** Continue reporting benefits through post-implementation reviews as outlined in Section 5.3.

3. Project Delivery: Managing and Controlling, Risk and Quality

Control, risk and quality are interlinked. Tolerances define the point at which a risk is an exception, and quality criteria define what 'complete' means in terms of earned value measurement.

4.1 Managing and controlling a project

4.1.1 The control cycle

Control is an ongoing process of establishing a standard, measuring performance, predicting results, and taking corrective action (APM, 2019). This starts with a work breakdown structure (WBS) that breaks the project down into work packages that are manageable. PRINCE2 introduces two important controls for risk-averse boards (AXELOS, 2023):

1. **Stage-by-Stage Management:** Each stage ends with a gate to reassess the business case, and funding is provided in tranches rather than in full.
2. **Management by Exception:** Tolerances, e.g., ± 10% on costs and ± 2 weeks per stage, allow project managers to act freely. An exception report is presented to the sponsor if tolerances are breached and guides senior management to critical decisions.

4.1.2 Earned value management

Earned Value Management (EVM) combines scope, schedule and cost into one measure: budgeted value of the work performed (Fleming and Koppelman, 2010). For example, at week 12, an SPI of 0.90 and a CPI of 0.85 predict a £150,000 budget overrun, allowing early intervention. Research indicates little improvement in cumulative CPI after 20% project completion (Christensen and Heise, 1993). Statistics can be used to provide forecasts from indices (Lipke et al., 2009).

EVM needs a disciplined WBS and reliable input measures (Kwak and Anbari, 2012). When these are missing, it can become ineffective. Nxt uses full EVM for projects with heavy procurement, but for software components, burn-down charts and earned value applied at the release level might be better.

Table 2: Earned value metrics and Nxt control thresholds

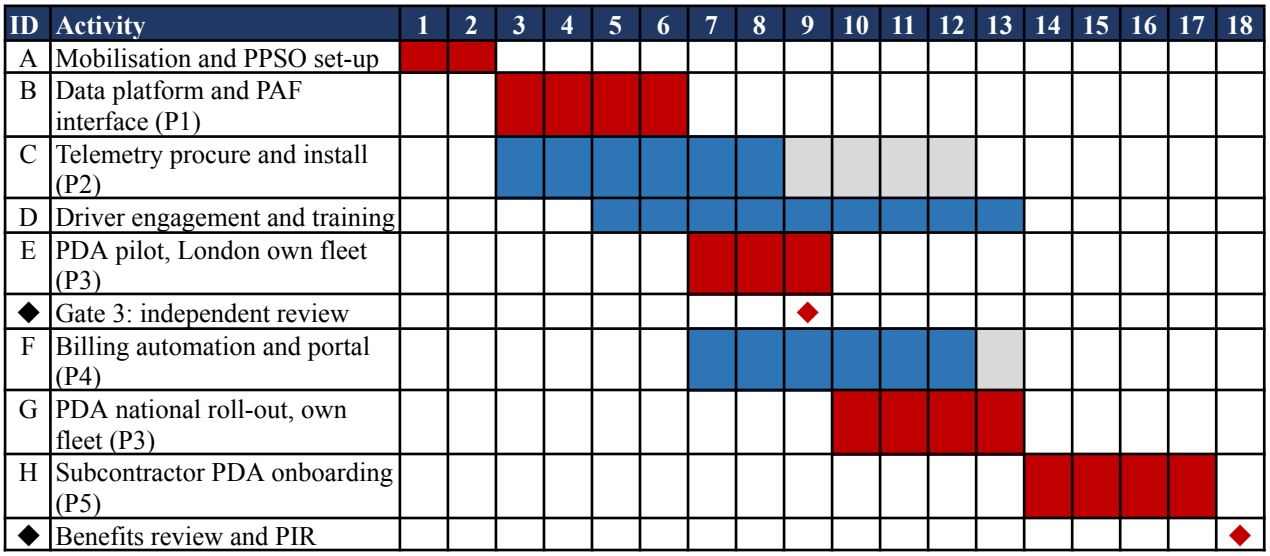
Metric	Formula	Meaning	Nxt tolerance trigger
Schedule variance (SV)	EV − PV	Work completed versus work planned, in £	SV below −10% of PV
Cost variance (CV)	EV − AC	Value earned versus money spent	CV below −10% of EV
Schedule performance index (SPI)	EV ÷ PV	Schedule efficiency; <1.0 means behind	SPI < 0.90 → exception report
Cost performance index (CPI)	EV ÷ AC	Cost efficiency; <1.0 means over budget	CPI < 0.90 → exception report
Estimate at completion (EAC)	BAC ÷ CPI	Forecast final cost at current efficiency	EAC > BAC +10% → programme board
To-complete performance index (TCPI)	(BAC − EV) ÷ (BAC − AC)	Efficiency needed to finish on budget	TCPI > 1.10 → re-plan

Source: author, from Fleming and Koppelman (2010) and PMI (2021). Worked example in Appendix B.

4.1.3 Schedule and critical path

Figure 2 shows a schedule over 18 months. The critical path includes the data platform, the London PDA pilot, the Gate 3 decision, the national own-fleet rollout and subcontractor onboarding, and any delays to these will push back the end date. Billing and telemetry provide some flexibility to cope with limited IT resources. The rollout of the own fleet will be followed by the subcontractor rollout.

Figure 2: Indicative Nxt Connect programme schedule and critical path (M1 = January 2027)



Key: red = critical path (A→B→E→Gate 3→G→H→PIR, 18 months); blue = non-critical; grey = float; ◆ = milestone. Source: author; critical path method after PMI (2021) and AXELOS (2023).

4.2 Risk management

4.2.1 Risk, issue, threat and opportunity

Risk is an uncertain event which may affect objectives, whereas an issue is an event that has already happened and which requires a decision (AXELOS, 2023). Hillson (2002) states that opportunities should be managed just like risks. Nxt has a clear opportunity in using real-time tracking data to underpin a premium service.

4.2.2 Identification, analysis and response

Nxt should adopt a cycle of identifying, assessing, planning, implementing and monitoring (APM, 2019) with a centralised risk register maintained by the Project and Program Support Office (PPSO) (see Appendix C). Qualitative risk assessment is quick and easy and is the probability times impact on a 5x5 scale. This method has its limitations, as the distinction between risks can get fuzzy when they score the same on the ordinal scale. The concept of 'uncertainty management' (Ward and Chapman, 2003) supports the fact that the estimates vary.

For larger projects, the realism is improved by the quantitative techniques with three-point estimates and Monte Carlo simulation. Reference-class forecasting is suggested by Flyvbjerg (2014) to update estimates using past project overruns. Their research shows that about one in six IT projects overruns by about 200%, which can be disastrous for a marginally profitable firm.

The responses to the identified risks include avoiding, reducing, transferring, or accepting the threats and exploiting the opportunities (AXELOS, 2023). These responses are elaborated in Appendix C: reduction for subcontractor adoption (R1) and exploitation for the premium service (O1).

4.2.3 Risk appetite and escalation

Nxt has a risk-averse culture that should be formalised. HM Treasury (2020) recommends that boards articulate their risk appetite by category. The senior management team (SMT) should have a low appetite for data security and customer-facing failures and a moderate appetite for controlled technology risks. Table 3 presents thresholds for upgrading risks from project to program and portfolio levels. At the portfolio level, it is important to summarise a number of related medium risks that depend on the same IT supplier. A risk is an uncertain event that, if it occurs, will affect objectives; an issue has already occurred and requires a decision (AXELOS, 2023). Risk is also two-way. Hillson (2002) suggests that opportunities should be managed in the same way. Nxt has a clear opportunity – real-time tracking data could be used to support a premium tracked service.

Table 3: 5×5 risk assessment matrix with Nxt risks plotted (score = likelihood × impact)

Likelihood ↓ / Impact →	1 Negligible	2 Minor	3 Moderate	4 Major	5 Severe
5 Almost certain	5	10	15	20	25
4 Likely	4	8	**12 R2**	**16 R1**	20
3 Possible	3	**6 R8**	**9 R6**	**12 R4 · O1**	**15 R3**
2 Unlikely	2	4	6	**8 R7**	**10 R5**
1 Rare	1	2	3	4	5

Score band	Rating	Appetite position	Response and escalation
1–4 (green)	Low	Within appetite	Accept and monitor; project manager owns
5–9 (amber)	Medium	Tolerable with treatment	Reduce within project tolerance; reviewed at project board
10–16 (red)	High	Outside appetite for security and service risks	Escalate to programme board within 5 working days; contingency plan required
20–25 (purple)	Critical	Unacceptable	Escalate to SMT as portfolio risk; stop or re-scope. Any security risk ≥10 is also escalated to SMT

R1 subcontractor PDA adoption; R2 driver resistance to telemetry; R3 legacy integration failure; R4 cost overrun; R5 secure data breach; R6 competitor price move; R7 IT supplier dependency; R8 cash-flow strain during parallel billing; O1 premium tracked service (opportunity). Full register in Appendix C. Source: author, after HM Treasury (2020) and AXELOS (2023).

4.3 Quality management

4.3.1 Quality, grade, assurance and control

Quality is how well a deliverable meets requirements, while grade reflects its features (PMI, 2021). A reliable Personal Digital Assistant (PDA) is high quality, even if it has fewer features, while a costly one that loses data is high grade but low quality. Quality factors include speed, courtesy, and timely delivery, all aligned with the project's acceptance criteria.

Quality management comprises four key components:

1. **Planning:** Defines the standards and acceptance criteria for each product.
2. **Quality Assurance (QA)**: Process-oriented and preventive in nature. Independent checks to see that the right procedures are being followed.
3. **Quality Control (QC):** Product-focused and detective in nature. Tests, inspections, walkthroughs, accept or reject deliverables.
4. **Improvement:** Keeps a lessons log to close the loop and allow for continuous improvement.

Table 4 shows this framework in relation to the PDA project. Importantly, QA is independent and reports to the sponsor via project assurance and not to the project manager. This is done to possibly avoid schedule delays.

Table 4: Quality assurance and quality control on the PDA project

	Quality assurance (QA)	Quality control (QC)
Focus	The process that produces the output	The output itself
Timing	Throughout, from initiation	At defined points against acceptance criteria
Nxt activities	Audit of the quality plan; supplier process review; configuration audit; gate assurance by PPSO	Device acceptance tests; signature-capture accuracy test; end-to-end trial on live London routes; user walkthroughs with drivers
Owner	Project assurance (independent of PM)	Team manager and Senior User
Record	Audit reports; lessons log	PRINCE2 quality register; test logs

Source: author, after AXELOS (2023) and PMI (2021).

4.3.2 Lessons from case studies

One important lesson is the opening of Heathrow's Terminal 5 in March 2008. Delays had resulted in a rushed baggage system test and staff familiarisation, which led to the failure of the baggage system and the cancellation of hundreds of flights, the House of Commons Transport Committee (2008) noted. The technology was mostly sound, but the transition was messed up.

Similarly, the PDA rollout of Nxt is dependent on changes in user behaviour, so quality control should include real-world testing with couriers, and standards should never be compromised just to hit a launch date.

However, the Ford Pinto case illustrates another problem. This was the case where a known safety defect was ignored in the name of a cost-benefit analysis (Birsch and Fielder, 1994). Under cost pressures, key quality requirements like minimising driver distraction and ensuring the security of Nxt Secure signatures must not be diluted.

4.3.3 Choosing a quality philosophy

Total Quality Management (TQM) is about organisational culture and continuous improvement. In contrast, Six Sigma is statistical-based to reduce variation and is associated with specific and hard targets (Linderman et al., 2003). The idea behind lean methodology is to eliminate waste from processes. Note that these approaches are not interchangeable.

Nxt's operations are high volume and repetitive, a good fit for Six Sigma. The introduction of PDAs to generate delivery-time data allows variation in subcontractor performance to be measured for the first time. However, for one-off projects, Lean's focus on waste reduction (e.g., eliminating paper cards, rescanning, manual discount approvals) combined with PRINCE2's product-based reviews is more appropriate than Six Sigma.

The recommended approach is a hybrid model: PRINCE2 for quality management in the project, Lean for process redesign, and Six Sigma for operational control after handover.

5. PPSO and Governance

5.1 Organising Nxt for project work

A methodology requires a supportive structure to be effective. Nxt has a functional structure with two operating companies, regional sales teams, and outsourced IT, which maintains expertise but limits project managers' authority and delays cross-company projects. Since Nxt doesn't rely on project revenue, a fully project-based structure isn't suitable (PMI, 2021). A balanced matrix structure, where designated individuals from various departments work part-time in Nxt Connect and share authority with line managers as directed by the program board, is more effective. Midler's (1995) study on Renault demonstrates that project authority succeeds only when functional managers are evaluated based on project results.

Table 5: Organisation structure options for Nxt

Structure	How it works	Strength for Nxt	Weakness for Nxt	Verdict
Functional	Projects run inside departments; PM has little authority	Deep expertise; no disruption	Cross-company work stalls; no single owner of benefits	Current state; insufficient
Weak matrix	Coordinator role; line managers control resources	Low cost	Coordinator cannot resolve priority conflicts	Too weak for Nxt Connect

Structure	How it works	Strength for Nxt	Weakness for Nxt	Verdict
Balanced matrix	Seconded staff; PM and line managers share authority under programme rules	Combines expertise with accountability; reversible	Dual reporting needs clear decision rights (Table 9)	Recommended
Projectised	Dedicated project organisation with its own staff	Maximum focus and speed	Costly; duplicates operations; poor fit for a service business	Not justified

Source: author, after PMI (2021) and Midler (1995).

5.2 Programme and Project Support Office (PPSO)

5.2.1 Models and remit

A Project and Program Support Office (PPSO) is a unit that directs and standardises project activities. According to PMI (2021), these offices are supportive (providing templates and advice), controlling (emphasis on compliance), and directive (managing projects). A PPSO can be embedded in a single program, be enterprise-wide, or be part of a federated model with a hub and satellite structure (AXELOS, 2013). Responsibilities include the entire project lifecycle: business case support, planning, risk management, reporting, and benefits tracking. For the Senior Management Team (SMT), the value of the key is one source of truth, with one dashboard, risk register and resource plan across both companies.

Table 6: PPSO models assessed for Nxt

Model	Characteristics	Fit for Nxt now	Fit by 2028
Supportive	Templates, training, administrative help; low authority	High: builds trust in a risk-averse culture	Medium
Controlling	Mandates standards; performs assurance and gate reviews	Medium: too early before credibility is earned	High
Directive	Owns PMs and runs projects directly	Low: scale and culture do not justify it	Low
Embedded	Serves a single programme (Nxt Connect)	High as a starting point	Absorbed into central office
Central	Enterprise-wide hub reporting to SMT	Medium	High
Federated	Central hub plus satellites in Nxt Service and Nxt Secure	Low: overhead too high at £100m revenue	Medium if shared services grow

Source: author, after PMI (2021), AXELOS (2013) and Aubry, Hobbs and Thuillier (2007).

5.2.2 Evidence and failure modes

The effectiveness of Project Management Offices (PMOs) is debated. While standards and training enhance project performance (Dai and Wells, 2004), PMOs can be viewed as bureaucratic. Hobbs, Aubry, and Thuillier (2008) noted that PMOs often evolve in structure over time. Singh, Keil, and Kasi (2009) identified critical issues such as inflexible methodologies, inadequate executive support, insufficient experienced staff, and challenges in demonstrating value that need immediate attention.

5.2.3 Implementing a PPSO at Nxt

Table 7: Three implementation phases to address failure modes:

- **Mandate and Sponsorship:** The terms of reference will be approved by the Senior Management Team (SMT) with sponsorship from the Group CEO to ensure that the office is viewed as more than an IT function.
- **Maturity Assessment:** P3M3 baseline will be established at levels 1 or 2 with a target of achieving level 3 in two years.
- **Phased Roll-Out:** We will start in a supporting role to Nxt Connect and move to a controlling function as trust is built.
- **Staffing:** We expect to be staffing at approximately 3.5 Full-Time Equivalents (FTEs) by 2028 while managing costs in line with Nxt margins.
- **Success Measures:** Details of the measures for each phase, including project staff satisfaction, are given in Table 7.
- **Establishing credibility:** We will back the project managers and look for a quick win such as a single risk register in the first quarter.

Table 7: Phased PPSO implementation

Phase	Timing	Model	Key activities	Staffing	Success measures
1 Establish	Feb–Apr 2027	Supportive, embedded in Nxt Connect	Terms of reference; P3M3 baseline; templates; single risk register; reporting cadence	PPSO manager; planner/analyst	All projects baselined; reports on time
2 Consolidate	May 2027–Mar 2028	Supportive → controlling, central	Gate assurance; EVM on large projects; resource plan across both companies; PM training	+ risk and benefits analyst; part-time configuration librarian (3.5 FTE)	Forecast accuracy ±10%; benefits tracked vs plan; PM satisfaction >70%
3 Embed	Apr 2028 onward	Controlling, central, portfolio remit	Portfolio prioritisation support; post-implementation reviews; lessons library	Review against portfolio size	P3M3 level 3; SMT decisions taken on PPSO data

Source: author, after AXELOS (2013), Singh, Keil and Kasi (2009) and the module's Week 5 PSO set-up guidance.

5.2.4 Benefits for every member of the project team

A PPSO that benefits only executives will be resisted by the people who feed it data. Table 8 shows the value at each level, including front-line staff and suppliers.

Table 8: PPSO benefits by role

Role	Benefit from the PPSO
MD and SMT	One trusted portfolio view; evidence for investment decisions; early warning of exceptions

Role	Benefit from the PPSO
Sponsor / SRO	Independent assurance; benefits tracking; concise exception reports instead of raw data
Project managers	Templates, planning and EVM support; less administration; access to historical estimates
Team members and drivers	Clear roles and work packages; training on new devices; a channel to raise risks without blame
Benefit owners	Baselines and measurement support; visibility of dependencies affecting their KPIs
Subcontractors and IT suppliers	Consistent requirements, change control and acceptance criteria; predictable payment milestones

Source: author, after AXELOS (2013) and Dai and Wells (2004).

5.3 Project governance

5.3.1 Governance is not management

Management does the work; governance sets the objectives and monitors performance (Turner, 2006). Too and Weaver (2014) identify four main components: portfolio management, sponsorship, the PMO, and the projects. They argue that failures in governance often start at a higher level. That's an issue in Nxt, where the excitement of new technology could drive a tech role to sponsor its own solution.

5.3.2 Structure and decision rights

The proposed structure is shown in Figure 3. The SMT is the portfolio board; it sets risk appetite, approves business cases over £250k and determines exceptions outside of the program tolerance. The MD of Nxt Service should be the Senior Responsible Owner for Nxt Connect and the CIO should be the Senior Supplier. The roles of PRINCE2 are mirrored in each project board, and the Senior User represents the drivers and hub staff. Thresholds are given in Table 9.

Figure 3: Proposed governance structure

Independent assurance	Direction and delivery	Support
Internal audit; external peer review at Gate 3 and before subcontractor roll-out	SMT (portfolio board), chaired by Group CEO	PPSO portfolio reporting
Programme assurance (PPSO, reporting to SRO)	▼ Nxt Connect programme board: SRO (MD, Nxt Service); CFO; CIO; benefit owners	PPSO planning, risk and benefits tracking
Project assurance (business, user and supplier)	▼ Project boards: Executive; Senior User (operations); Senior Supplier (CIO / IT firm)	PPSO templates, EVM, change control
Quality reviews and audits	▼ Project managers → team managers → delivery teams	PPSO configuration librarian

Source: author, after AXELOS (2023), Too and Weaver (2014) and the Week 6 PRINCE2 governance structure.

Table 9: Decision rights and escalation thresholds

Decision	Project manager	Project board	Programme board	SMT
Forecast cost variance	Within ±5%	±5–10%	±10–15%	>15% or >£100k
Forecast schedule variance	≤2 weeks	2–4 weeks	4–8 weeks or critical path	>8 weeks

Decision	Project manager	Project board	Programme board	SMT
Scope change	Within work package	Within project, no benefit impact	Affects another project or a benefit	Changes strategic objective
Risk score (Table 3)	1–4	5–9	10–16	20–25; any security risk ≥10
Business case approval	–	Stage plans	Projects up to £250k	Projects above £250k; programme
Benefits shortfall after go-live	–	–	Forecast below 90% of plan	Below 75% or benefit cancelled

Source: author. Thresholds are illustrative and should be calibrated by the SMT alongside Recommendation 1.

5.3.3 Assurance and benefits after closure

Assurance should be separated from delivery. The PPSO provides routine assurance, but an external peer review similar to UK government gateway reviews is required to test readiness before subcontractor roll-out at Gate 3. Benefits of project end come later. The Program Board is accountable until post-implementation review, with Benefit Owners reporting quarterly to SMT against Table 1. This was a significant problem for the NHS program (Public Accounts Committee, 2013).

5.4 PPSO and governance as one system

The PPSO is the information engine for governance, providing the evidence boards for decision-making and assurance. If the PPSO or governance is not in place, reports may be ignored or decisions made without evidence.

6. Recommendations

Table 10 shows a summary of eight recommendations with priority on governance rather than investment. Key constraints are limited capital and SMT time. The gate-based funding approach limits the amount of capital at risk at any one stage and the capacity of the SRO may mean that some of the managing director's duties will need to be delegated in 2027.

Table 10: Prioritised recommendations to the Senior Management Team

#	Recommendation	Owner	By	Effort	Needs	Success measure	Basis
1	Approve a risk appetite statement by category and the decision thresholds in Table 9	SMT; CFO	Jan 2027	Low	–	Thresholds in use at first programme board	4.2.3, 5.3.2
2	Mandate the Nxt Connect programme; appoint MD, Nxt Service as SRO and CIO as Senior Supplier	Group CEO	Jan 2027	Low	1	Programme brief approved	3.1, 5.3.2

#	Recommendation	Owner	By	Effort	Needs	Success measure	Basis
3	Adopt a balanced matrix: second named staff to Nxt Connect and add project outcomes to line managers' objectives	Group CEO; HR Director	Feb 2027	Medium	2	All project roles filled; objectives updated	5.1
4	Adopt BRM: benefits map, named owners, baselines measured before go-live, dis-benefits logged	CFO; benefit owners	Mar 2027	Medium	2	Baselines recorded for every Table 1 KPI	3.2–3.3
5	Establish a supportive, embedded PPSO (Phase 1) with P3M3 baseline and a single risk register	Group CEO (sponsor)	Feb–Apr 2027	Medium (≈3.5 FTE by 2028)	2	All projects baselined; reports on time	5.2
6	Apply tailored PRINCE2 stages and tolerances; EVM on projects above £500k; agile tracking for software	PPSO; PMs	Apr 2027	Medium	5	Forecast accuracy within ±10%	4.1
7	Run the London own-fleet PDA pilot with operational acceptance testing and driver engagement; independent Gate 3 review before roll-out	SRO	May–Sep 2027	High	4, 6	Gate 3 passed; pilot routes ≥97% on time	4.1.3, 4.3.2
8	Hold a post-implementation benefits review; reassess P3M3 maturity and decide on a controlling PPSO	SMT	Jun 2028	Low	7	≥90% of planned benefits evidenced; P3M3 level 3	3.3, 5.2.3

Source: author, derived from Sections 3–5.

7. Conclusions

Nxt's strategy relies on effective project management, where the value of interrelated changes emerges only when outputs lead to measurable benefits. Without proper governance, investments in items like PDAs and databases may become costly and underutilized.

Success depends on four key components: tracking benefits beyond project closure, managing risks with a clear appetite, establishing a credible PPSO, and ensuring governance that separates direction from delivery. Together, these elements enable a cautious, undercapitalized business to innovate safely.

Appendices

Appendix A: SWOT summary of the Nxt Day Group

Strengths	Weaknesses
95% on-time delivery; established niche in professional services; 204k business postcodes covered; capable, stable SMT; national hub-and-spoke network	Paper-based proof of delivery; no subcontractor performance measures; billing delayed by manual processes; asset database does not track use; marginal profitability; risk-averse culture
Opportunities	**Threats**
Real-time tracking as a premium service; public-sector and business-park growth; secure B2C expansion; insourcing more volume to own fleet; shared services across both companies	European postal administrations and global couriers; customer churn in a fluid market; reputational damage from lost sensitive items; driver and subcontractor resistance to monitoring

Source: author, from University of Wolverhampton (2026).

Appendix B: Earned value worked example (PDA pilot, P3)

Budget at completion (BAC) £850,000 over 30 weeks. Status at week 12:

Measure	Calculation	Result	Interpretation
Planned value (PV)	Budgeted cost of work scheduled	£340,000	–
Earned value (EV)	Budgeted cost of work performed	£306,000	–
Actual cost (AC)	Cost incurred	£360,000	–
SV	306,000 − 340,000	−£34,000	Behind schedule
CV	306,000 − 360,000	−£54,000	Over budget
SPI	306,000 ÷ 340,000	0.90	At tolerance trigger
CPI	306,000 ÷ 360,000	0.85	Breaches tolerance: exception report
EAC	850,000 ÷ 0.85	£1,000,000	Forecast overrun of £150,000 (VAC)
TCPI	(850,000 − 306,000) ÷ (850,000 − 360,000)	1.11	Recovery requires 11% efficiency gain: re-plan

Source: author. Formulae after Fleming and Koppelman (2010).

Appendix C: Risk register extract

ID	Category	Risk statement (cause → event → effect)	L	I	Score	Response	Owner
R1	Operational	Because couriers are paid a flat rate per drop, there is a risk they decline PDAs, leaving 75% of volume untracked	4	4	16	Reduce: device subsidy; contractual KPIs; phased onboarding	Group Operations Director
R2	People	Because telemetry records location and driving, there is a risk of driver resistance, delaying adoption	4	3	12	Reduce: consultation; safety framing; data-use policy	HR Director
R3	Technical	Because the scheduling system may not integrate, there is a risk of rework delaying the critical path	3	5	15	Reduce: early integration proof of concept in P1	CIO
R4	Financial	Because estimates are optimistic, there is a risk of cost overrun beyond tolerance	3	4	12	Reduce: reference-class uplift; staged funding	CFO
R5	Compliance	Because named signatures are stored centrally, there is a risk of a data breach harming Nxt Secure	2	5	10	Reduce: security by design; penetration testing; escalate to SMT	MD, Nxt Secure

ID	Category	Risk statement (cause → event → effect)	L	I	Score	Response	Owner
R6	Strategic	Because competitors are larger, there is a risk of a price move during roll-out	3	3	9	Accept and monitor; accelerate premium tier	Sales and Marketing Director
R7	Supplier	Because one external IT firm is used, there is a risk of dependency or supplier failure	2	4	8	Transfer and share: escrow; contract terms	CIO
R8	Financial	Because billing runs in parallel during cutover, there is a risk of short-term cash-flow strain	3	2	6	Reduce: cutover plan; credit control focus	CFO
O1	Opportunity	Because real-time data will exist, there is an opportunity to launch a premium tracked service	3	4	12	Exploit: business case in Phase 3	Sales and Marketing Director

Source: author, using the module risk register fields (AXELOS, 2023).

Appendix D: Case study evidence and lessons for Nxt

Case	What happened	Why	Lesson for Nxt	Used in
Renault (Midler, 1995)	Renault strengthened project directors' authority in vehicle development and shortened development lead times	Project authority was matched by changes in how functional departments worked and were judged	Second staff into a balanced matrix and judge line managers on project results too	2.3, 5.1
UPS ORION (Holland et al., 2017)	Telematics-based route optimisation cut around 100 million miles a year	Incremental deployment and sustained driver engagement turned outputs into benefits	Budget for behaviour change; benefits lag outputs and need owners	3.3
NHS National Programme for IT (Public Accounts Committee, 2013)	Costs approaching £10bn; promised benefits not demonstrated; programme dismantled	Central contracting without local ownership of business cases or benefits	Keep benefit ownership in the business; govern benefits after closure	3.3, 5.3.3
Heathrow Terminal 5 (Transport Committee, 2008)	Baggage system failed at opening; flights cancelled, bags mishandled	Testing and staff familiarisation squeezed by earlier delays	Operational acceptance with real users; never trade gate criteria for dates	4.3.2
Ford Pinto (Birsch and Fielder, 1994)	Known fuel-tank hazard accepted after cost-benefit analysis; recalls and litigation followed	Cost pressure overrode safety as a quality requirement	Treat driver safety and data security as non-negotiable requirements	4.3.2

Source: author, from the sources cited.

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Glossary

Term	Definition
Balanced matrix	An organisation structure in which project managers and line managers share authority over seconded staff
Benefit	A measurable improvement resulting from an outcome, perceived as an advantage by a stakeholder
Benefits realisation management (BRM)	The ongoing discipline of identifying, planning, tracking and realising benefits, including after project closure
Critical path	The longest sequence of dependent activities, which sets the minimum project duration; activities on it have zero float
Dis-benefit	A measurable consequence of change perceived as negative by one or more stakeholders
Earned value (EV)	The budgeted value of the work actually completed at a point in time
Exception	A forecast breach of agreed tolerance, requiring escalation to the next management level
Float (slack)	The time an activity can be delayed without delaying the project end date
Governance	The framework of authority, accountability and assurance within which projects are directed; distinct from management
Issue	An event that has happened and requires a management decision
Outcome	The result of change, normally a changed way of working, enabled by outputs
Output	A specialist product or deliverable handed over by a project
P3M3	Portfolio, Programme and Project Management Maturity Model, a five-level assessment of organisational capability
Portfolio	The totality of an organisation's investment in change, selected and balanced against strategy and capacity
PPSO / PMO	Programme and Project Support Office: a unit that supports, standardises, assures or directs project work
PRINCE2	A process-based project management method based on seven principles, themes and processes
Programme	A temporary structure coordinating related projects to deliver outcomes and benefits linked to strategy
Project	A temporary organisation created to deliver defined outputs according to a business case
Quality assurance (QA)	Independent, process-focused activity providing confidence that quality requirements will be met
Quality control (QC)	Product-focused inspection and testing to accept or reject deliverables
Reference-class forecasting	Estimating by reference to the actual outcomes of comparable past projects, to counter optimism bias
Risk	An uncertain event that, should it occur, will affect objectives positively (opportunity) or negatively (threat)
Risk appetite	The amount and type of risk an organisation is willing to pursue or retain
Senior Responsible Owner (SRO)	The individual accountable for a programme meeting its objectives and realising its benefits
Tolerance	The permitted deviation from a plan before escalation is required
Work breakdown structure (WBS)	A hierarchical decomposition of the total scope of work into manageable work packages